

Leave and Time Off Policy

Document ID: HR-POL-002 Version: 4.1

Effective Date: 1 January 2026 Owner: People Operations

Classification: Internal Supersedes: HR-POL-002 v3.6

4.1 Purpose and scope

This policy sets out the paid and unpaid leave available to employees of Cerulean Systems Ltd. It applies to all permanent employees. Contractors and agency staff are covered by the terms of their engagement and are outside the scope of this policy.

4.2 Annual leave entitlement

Permanent employees are entitled to 24 working days of paid annual leave per calendar year. Entitlement increases with length of service as follows.

Completed years of service | Annual leave entitlement

Less than 5 years | 24 working days per year

5 years or more | 30 working days per year

10 years or more | 32 working days per year

The increased entitlement takes effect from the first day of the calendar month following the service anniversary. Public holidays are additional to annual leave and are published separately each December.

4.3 Accrual

Annual leave accrues monthly in arrears at the rate of two working days for each completed month of service for employees on the 24-day entitlement. Employees on higher entitlements accrue at one twelfth of their annual entitlement per completed month.

Detailed accrual rules for employees who join or leave part way through a year, including the treatment of partial months, are set out in the Leave Accrual and Final Settlement Procedure (HR-PRO-011). Where this policy and HR-PRO-011 both address accrual mechanics, HR-PRO-011 is the operative document.

4.4 Requesting annual leave

Requests are submitted through the HR portal at least 10 working days in advance for absences of five days or more, and at least three working days in advance for shorter absences. Requests require line manager approval, and managers should respond within three working days. Leave of more than 10 consecutive working days additionally requires department head approval. Requests may be declined where the absence would leave a team without adequate cover, and a declined request must be accompanied by a written reason.

4.5 Carry-over

Employees may carry over a maximum of 10 working days of unused annual leave into the following calendar year. Carried-over days must be taken by 31 March or they are forfeited.

Carry-over above 10 days is permitted only with written approval from People Operations, and is granted only where the employee was prevented from taking leave by operational demands.

4.6 Sick leave

Employees are entitled to 30 calendar days of paid sick leave per rolling 12-month period. A medical certificate is required for any absence exceeding three consecutive calendar days. Absences of one or two days are self-certified and do not require documentation, but must be reported to the line manager on the first day of absence.

4.7 Parental leave

Maternity leave is 70 calendar days at full pay. Paternity leave is 5 working days at full pay, to be taken within one month of the birth. Both are additional to annual leave and do not affect annual leave accrual.

4.8 Unpaid leave

Unpaid leave may be granted at the discretion of the department head for up to 30 calendar days in any 12-month period. Annual leave does not accrue during periods of unpaid leave exceeding 15 consecutive calendar days.

4.9 Related documents

Related documents: HR-PRO-011 Leave Accrual and Final Settlement Procedure, HR-POL-005 Probation and Onboarding Guide, FIN-POL-007 Travel and Accommodation Policy.